

CLAIMS PROCESSING OUTSOURCING AGREEMENT

between

Meritus BPO Solutions Pvt Ltd (“Provider”)

and

Coastal Home Insurance Co. (“Client”)

This Claims Processing Outsourcing Agreement (this “Agreement”) is entered into and effective as of December 20, 2024 (the “Effective Date”) by and between Meritus BPO Solutions Pvt Ltd, a company incorporated in India with its principal place of business at Prestige Tech Park, Bengaluru, Karnataka 560103, India (“Provider”), and Coastal Home Insurance Co., a Delaware corporation with its principal place of business at 500 Harbor Boulevard, Wilmington, Delaware 19801 (“Client”), each a “Party” and together the “Parties.”

RECITALS. Provider operates outsourced claims-processing and customer-support centers, and Client wishes to outsource its first-notice-of-loss claims processing and policyholder support functions to Provider on the terms below.

1. TERM AND RENEWAL

1.1 Initial Term. This Agreement commences on the Effective Date and continues for an initial term of two (2) years, expiring on December 20, 2026 (the “Initial Term”), unless terminated earlier under Section 9.

1.2 Automatic Renewal. Upon expiry of the Initial Term, this Agreement automatically renews for successive one (1)-year periods, unless either Party gives the other written notice of non-renewal at least ninety (90) days before the end of the then-current term.

2. SERVICES; EXCLUSIVITY; MINIMUM COMMITMENT

2.1 Provider shall perform the outsourced claims-processing and policyholder support functions described in Schedule A (the “Services”).

2.2 Exclusivity. During the Term, Provider shall be Client's exclusive provider of the outsourced claims-processing functions described in Schedule A.

2.3 Minimum Commitment. Client commits to a minimum monthly billable volume of forty thousand (40,000) transactions; if actual monthly volume is lower, Client shall pay Provider a minimum fee calculated on 40,000 transactions.

3. FEES AND PAYMENT

3.1 Fees. Based on the Minimum Commitment, the aggregate value of this Agreement over the two (2)-year Initial Term is estimated at three million six hundred thousand dollars (\$3,600,000).

3.2 Payment Terms. Client shall pay each undisputed invoice within thirty (30) days of the invoice date.

3.3 Pricing Model. Fees are billed on a usage basis, per transaction processed and per FTE-hour of support delivered, as set out in Schedule A.

3.4 Price Escalation. At each renewal, per-transaction and per-FTE-hour rates may increase in line with the Consumer Price Index for India, capped at six percent (6%) per year.

4. SERVICE LEVELS

4.1 Provider shall maintain an average handle time within Client's target thresholds and a first-call resolution rate of at least eighty-five percent (85%), each measured monthly per Schedule B.

4.2 If Provider fails to meet the service levels in Schedule B in a given month, Client shall be entitled to a service credit of up to fifteen percent (15%) of that month's fees.

5. DATA RESIDENCY AND SECURITY

5.1 Data Residency. Client policyholder personal data shall be processed only within SOC 2-certified facilities located in India and the United States. Provider shall not transfer such data to any other jurisdiction without Client's prior written consent.

6. LIMITATION OF LIABILITY

6.1 Except for liability arising from a Party's breach of confidentiality or data protection obligations, which shall be unlimited, each Party's total aggregate liability arising out of this Agreement shall not exceed four million dollars (\$4,000,000).

7. INDEMNIFICATION

7.1 Provider shall defend, indemnify, and hold harmless Client from third-party claims arising out of (a) a data breach involving policyholder personal data, (b) Provider's negligence in performing the Services, or (c) infringement of a third party's intellectual property rights.

8. INSURANCE

8.1 Throughout the Term, Provider shall maintain Professional Liability insurance of not less than \$5,000,000 per claim and Cyber Liability insurance of not less than \$10,000,000 per occurrence.

9. TERMINATION

9.1 Termination for Cause. Either Party may terminate this Agreement immediately upon written notice if the other Party commits a material breach and fails to cure it within thirty (30) days of notice.

9.2 Termination for Convenience. Either Party may terminate this Agreement for convenience by giving the other Party not less than one hundred twenty (120) days' prior written notice.

10. CHANGE OF CONTROL; ASSIGNMENT

10.1 Neither Party may assign this Agreement without the other Party's prior written consent, except in connection with a merger, acquisition, or sale of substantially all of its assets.

10.2 If Provider undergoes a Change of Control involving a direct competitor of Client, Client may terminate this Agreement on thirty (30) days' written notice given within ninety (90) days of becoming aware of the Change of Control.

11. GOVERNING LAW

11.1 This Agreement is governed by, and shall be construed in accordance with, the laws of the State of New York, without regard to its conflict-of-laws principles. The state and federal courts located in New York County, New York shall have exclusive jurisdiction over any dispute arising out of this Agreement.

12. GENERAL PROVISIONS

12.1 Entire Agreement. This Agreement, together with its Schedules, constitutes the entire agreement between the Parties with respect to its subject matter.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the Effective Date.

For and on behalf of
MERITUS BPO SOLUTIONS PVT LTD

Signature: _____

Name: Anjali Rao

Title: Chief Delivery Officer

Date: December 20, 2024

For and on behalf of
COASTAL HOME INSURANCE CO.

Signature: _____

Name: Walter Kominsky

Title: VP, Claims Operations

Date: December 20, 2024